

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL LONGSHOREMAN’S	:	
ASSOCIATION,	:	
	:	
Complainant,	:	
	:	
v.	:	FMC Docket No.: 22-12
	:	
GATEWAY TERMINALS, LLC;	:	
CHARLESTON STEVEDORING COMPANY,	:	
LLC; PORTS AMERICA FLORIDA, INC.;	:	
CERES MARINE TERMINALS, INC.; AND	:	
SSA ATLANTIC, LLC,	:	
	:	
Respondents.	:	
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REPLY IN SUPPORT OF RESPONDENTS’ MOTION TO DISMISS

Respondents Gateway Terminals, LLC (“Gateway”), Charleston Stevedoring Company, LLC (“CSC”), Ports America Florida, Inc. (“PA”), Ceres Marine Terminals, Inc. (“Ceres”), and SSA Atlantic, LLC (“SSA”) (collectively, “Respondents”) hereby submit a Reply to Complainant International Longshoreman’s Association’s (“ILA” or “Complainant”) Response to Respondents’ Motion to Dismiss the original Verified Complaint.

PROCEDURAL HISTORY

The original Verified Complaint was filed on April 1, 2022. Respondents filed a Motion to Dismiss on May 9, 2022 (the “Motion to Dismiss”). On June 3, 2022, Complainant filed a Consent Motion for Leave to File an Amended Verified Complaint (the “Motion to Amend”). Thereafter, on June 7, 2022, Complainant filed a Response to the Motion to Dismiss (the “Response”). Because the Presiding Officer has not yet ruled on the Motion to Amend, Respondents submit this limited Reply to address the issues raised in the Response.

ARGUMENT

Complainant's Response focuses almost exclusively on the issue of personal jurisdiction, and contends that any jurisdictional infirmities and other pleading deficiencies in the original Verified Complaint are cured by the allegations contained in its proposed Amended Verified Complaint. Not so. It is procedurally improper for Complainant to bolster its arguments opposing the current motion with new factual allegations in a proposed new pleading for which the Presiding Officer has not even yet granted leave to be file. More importantly, even if such Motion to Amend is granted, key underpinnings of Complainant's claims will remain deficient as a matter of law. Even considering the newly asserted facts in the Amended Verified Complaint, Complainant continues to fail to plead facts establishing the Commission's personal jurisdiction, and fails to plead the necessary elements of its remaining alleged violations.

I. The Claims in Complainant's Original Verified Complaint Fail for the Reasons Set forth the Respondents' Motion to Dismiss.

The original Verified Complaint asserted eight counts against Respondents: (1) restraint on competition and trade; (2) restraint on competition and trade through merger; (3) violation of the Clayton Act; (4) violation of § 41105(6); (5) unreasonable preference and prejudice and refusal to deal in violation of § 41106(2)-(3); (6) operating contrary to and modifying the Agreement (FMC Agreement No. 201293); (7) request for declaratory order; and (8) request for other appropriate relief. Complainant's proposed Amended Verified Complaint abandons Counts (1)-(4), part of (5) (regarding preference and prejudice), and (7)-(8), and modifies and attempts to bolster the remaining counts.

All of the Counts that Complainant appears to have abandoned, and all Counts remaining from the original Verified Complaint, fail for the same reasons articulated in Respondent's Motion to Dismiss, including lack of jurisdiction.

Specifically, even if their pleading is supplemented by the factual allegations in the proposed Amended Verified Complaint, Complainant still fails to plead the necessary elements to support its claim that Respondents subjected shippers and carriers to an unreasonable refusal to deal under the Shipping Act. The Commission has long utilized a two-prong test for analyzing refusals to deal: parties must (1) “refrain from ‘shutting out’ a person,” (2) “for reasons having no relation to legitimate transportation-related factors.” *Canaveral Port Auth. – Possible Violations of Sec. 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, 29 S.R.R. 1436 (2003); *New Orleans Stevedoring Co. v. Bd. Of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (FMC 2002). In this docket, however, Complainant contends only in broad terms that Respondents refused to deal with shippers and carriers, but the allegations in the Amended Verified Complaint are devoid of any specific examples or allegations regarding Respondents purportedly refusals to deal, or any reasons therefor.

Complainant also continues to fail to plead any harm to the ILA resulting from any purported refusal to deal with shippers and carriers, which has the effect of foreclosing the Commission from awarding reparations for this alleged violation. *See* 46 U.S.C. § 41305(b) (limiting reparations only to those that suffer actual injury). Respondents will address these – and other – pleading infirmities in their response to the Amended Verified Complaint if and/or when it is accepted for filing.

II. Even Accepting its Newly Pled Facts, Complainant’s Allegations Fail to Establish Personal Jurisdiction.

Even assuming, *arguendo*, that Complainant’s newly asserted jurisdictional allegations should be considered in evaluating the original Verified Complaint, Complainant still fails to plead facts establishing personal jurisdiction.

Specifically, Complainant contends that SSA, Ports America, and Ceres currently are marine terminal operators, as defined at 46 U.S.C. § 40102(15), yet Complainant's pleadings still lack allegations that support this conclusion.

The analysis of whether a party is a "marine terminal operator" is facility-specific, meaning that the Commission considers the party's activities *at the facilities involved in the dispute*, not all port facilities generally. *See Auction Block Co. v. City of Homer*, 33 S.R.R. 589, 593 (FMC 2014), *aff'd Action Block v. FMC*, 606 Fed. Appx. 347, 348 (9th Cir. 2015). The pleadings do not allege that SSA, Ports America, and Ceres currently provide wharfage, dock, warehouse, or other terminal facilities in connection with a common carrier at the container terminal facilities in Savannah and Charleston. Instead, Complainant alleges that these entities (1) are marine terminal operators because they allegedly control marine terminal facilities at *other ports* and at *non-container facilities* at Savannah; and (2) *previously controlled* marine terminal facilities in Charleston and Savannah's container terminal prior to 2019. None of these allegations supports a finding that the three companies *presently are* marine terminal operators.

These pleading deficiencies underscore the Commission's inability to grant relief to Complainant. The Presiding Officer is not empowered to order the three non-MTOs to resume their 2019 operations in the port of Savannah and Charleston, especially when the transition to a single-provider stevedoring model in each of these ports was mandated by state action by the public port authorities in Georgia and South Carolina, which are not parties to this proceeding.

In sum, the Commission lacks jurisdiction over the claims at issue, both as asserted in the original Verified Complaint and the proposed Amended Verified Complaint. Thus, the original Verified Complaint should be dismissed in its entirety.

III. Complainant's Newly Asserted Claims Are Not Addressed in this Reply.

The proposed Amended Verified Complaint asserts a new cause of action, namely refusal to deal with a union under a collective bargaining agreement. Although Respondents take the position that this new claim is legally defective because the Shipping Act unequivocally excludes collective bargaining agreements from the Commission's jurisdiction (*see* 46 U.S.C. § 40301(d)), this proposed new claim is not properly addressed in this Reply, but rather in a motion to dismiss or answer to the Amended Verified Complaint if and/or when it is accepted by the Commission.

IV. Conclusion

For the reasons set forth above, and in Respondents' Motion to Dismiss, Respondents respectfully requests that the Commission dismiss the ILA's original Verified Complaint.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Complainant's counsel of record by email on this 21st day of June 2022.

Matthew J. Thomas

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